Meta Platforms, Inc.

META NASDAQ

Buy	$623.28 ▼ 1.15%	12M Price Target	52-Week Range	Market Cap
		$720.00	$520.26 – $779.82	$1.59T

META: Post-Earnings Fade Overdone, AI Capex Fears Peaking

WHAT HAPPENED

- META is down ~11% in a week ($697 → $623) with no company-specific news today — this is a classic post-earnings hangover where the Street is digesting the massive AI capex guide. The market is basically saying "show me the ROI on all that spending" and until Meta does, the stock gets punished.
- The weird part: Tech sector (XLK) is UP 1.6% today while Comm Services (where META lives) is DOWN 0.1% and down ~6% on the week. That's META-specific pain, not a market problem — the stock is being singled out.

WHY IT MATTERS

Here's what I think is really going on: Meta told the Street they're spending $100B+ on AI infrastructure in 2027, and investors freaked out about the capex cycle extending. But look at the options flow — put/call ratio of 0.57 and massive unusual call buying at $625-630 strikes. Smart money is positioning for a bounce, essentially betting this selloff is overdone. The COO sold shares at $707 last week, which looks prescient, but those were likely pre-scheduled 10b5-1 sales (automatic sell programs executives set up months in advance), not a panic exit. Bottom line: the stock is now at just 40% of its 52-week range, institutional ownership is nearly 79%, and the fundamental ad business is still a cash machine — this looks like a sentiment washout, not a broken thesis.

POLICY & POLITICAL WATCH

Two big things to watch: (1) The TikTok divestiture situation — if the Trump administration lets the current ByteDance deal extensions keep slipping or forces a real sale, Meta's Reels business is the direct beneficiary (every hour TikTok loses is an hour Instagram gains). (2) The ongoing FTC antitrust case trying to force Meta to divest Instagram and WhatsApp — a loss would be catastrophic, but recent court signals suggest the government's case is weakening. Also keep an eye on the AI regulatory framework debate in Congress; Meta's open-source Llama strategy gives them political cover that closed-model competitors (OpenAI, Anthropic) don't have, and lawmakers on both sides seem to like that.

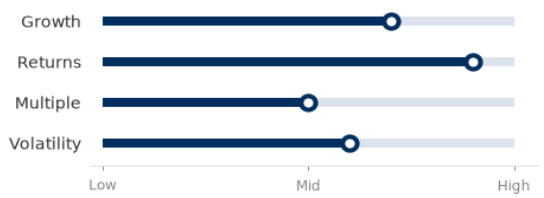
IS IT EXPENSIVE?

At $623, Meta trades at roughly 22-23x forward earnings — meaning investors pay about $23 for every $1 of profit expected next year. That's cheaper than the S&P 500 average right now and WAY cheaper than other AI names (Nvidia at 35x, Microsoft at 32x). The catch: that multiple assumes Reality Labs (their metaverse division) keeps losing ~$18-20B a year — strip that out and the core business trades at maybe 17x, which is genuinely cheap for a company growing ad revenue 15%+.

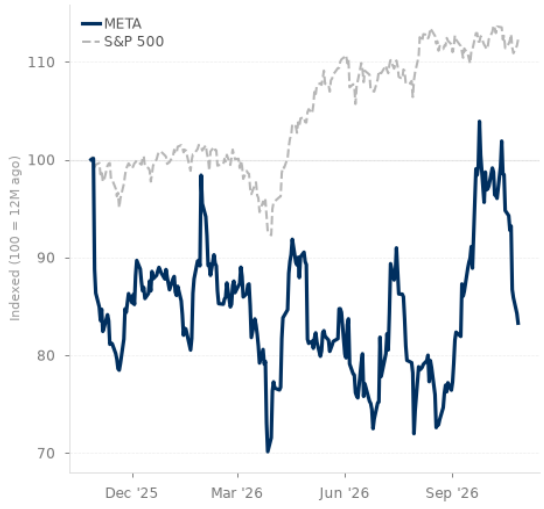
Key Data

Price (USD)	**$623.28**
12M Price Target	**$720.00**
Upside / (Downside)	**+15.5%**
Market Cap	**$1.59T**
FY2026E Revenue	**$195M**
FY2027E Revenue	**$225M**
FY2026E EPS	**$27.50**
FY2027E EPS	**$32.00**
Fwd P/E	**22.7x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

META — Meta Platforms, Inc. | October 27, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$680.00**	$640.00	**$580.00**
6 Months	**$760.00**	$690.00	**$560.00**
1 Year	**$850.00**	$720.00	**$540.00**
2 Years	**$1000.00**	$820.00	**$500.00**
5 Years	**$1400.00**	$1050.00	**$450.00**
10 Years	**$2200.00**	$1500.00	**$400.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Broader Tech (+1.6%) is firing on semiconductor and hardware strength — the AI infrastructure trade is alive and well. Materials and Industrials catching a bid on continued fiscal spending themes.

COOLING OFF: Communication Services is getting crushed (-5.8% on the week) — this is almost entirely a Meta and Google story as the market reassesses "ad companies spending like infrastructure companies."

ROTATION WATCH: Money is rotating OUT of ad-dependent mega-caps and INTO picks-and-shovels AI names (chips, data centers, power). That's a headwind for META short-term but creates the setup for a mean-reversion trade when sentiment flips.

RELATED PLAY: If you believe the AI buildout is real, the data center REITs (EQIX, DLR) and power names (VST, CEG) benefit from Meta's spending regardless of whether Meta's stock works. That's the "sell the shovels" trade.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the primary beneficiary of Meta's capex — every dollar Meta spends on AI infrastructure, a big chunk flows to Nvidia
- NFLX (Netflix): Winning the "ad-supported streaming" narrative while Meta gets dinged on ad concerns — showing comm services weakness is META-specific

META CONTEXT: Meta is badly lagging its mega-cap tech peers right now, which historically has been a buy signal — the stock rarely stays this disconnected from the group for long. When Meta underperforms by 10%+ in a short window without a fundamental break, it's typically retraced within 2-3 months.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Cautiously bullish; the business is fine, the sentiment is terrible, and that combination usually works out. Not pounding the table because the capex overhang is real.

POSITION SIZE: 4-6% of portfolio — big enough to matter if the bounce comes, small enough that if ad revenue cracks you're not ruined.

ENTRY POINTS: Scale in here at $623, add aggressively if it tests $580-600. The 52-week low is $520 — that's your "something is really wrong" level.

TIME HORIZON: 12-18 months. The catalyst is Q4 earnings in late January, then watching 2027 capex guidance for signs of discipline.

WHEN TO BAIL: If ad revenue growth drops below 10% YoY in any quarter, or if management raises 2027 capex guide above $120B without a credible monetization story. Both would signal the thesis is breaking.

HEDGING: Simplest hedge — buy a put option 10% below current price as insurance (costs you a small premium but caps your downside). Or pair this with a short in a richer-multiple AI name if you want to isolate the "Meta is cheap" bet from broader AI exposure.

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.